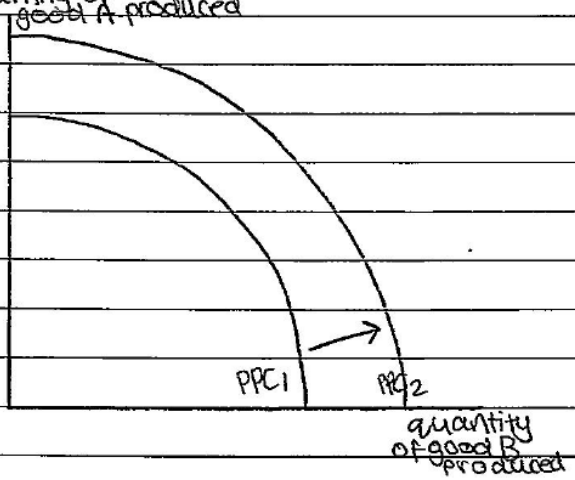
2 a

i) sustainable development goals:
- no poverty
- safe accessable water for everyone

ii) A ~~tariff~~ tariff is a ~~tax~~ placed on imported goods by the government. It is designed to raise the price of the good/service to the domestic consumer, thus decreasing demand. It is a method of protectionism

2 b

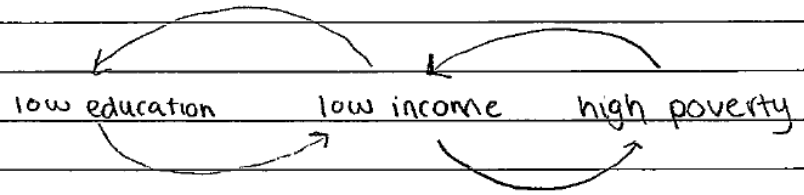
i)



improved human capital would increase the productive capacity of Malawi as labour is a factor of production. This would shift the PPC1 out to PPC2.

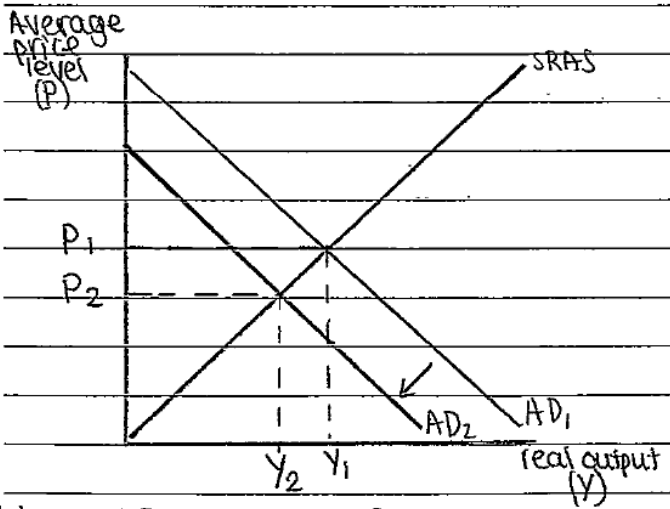
ii) nom GDP = 29 882 29882 ÷ 3.896 = 7669 millions
deflator = 389.6

2 C



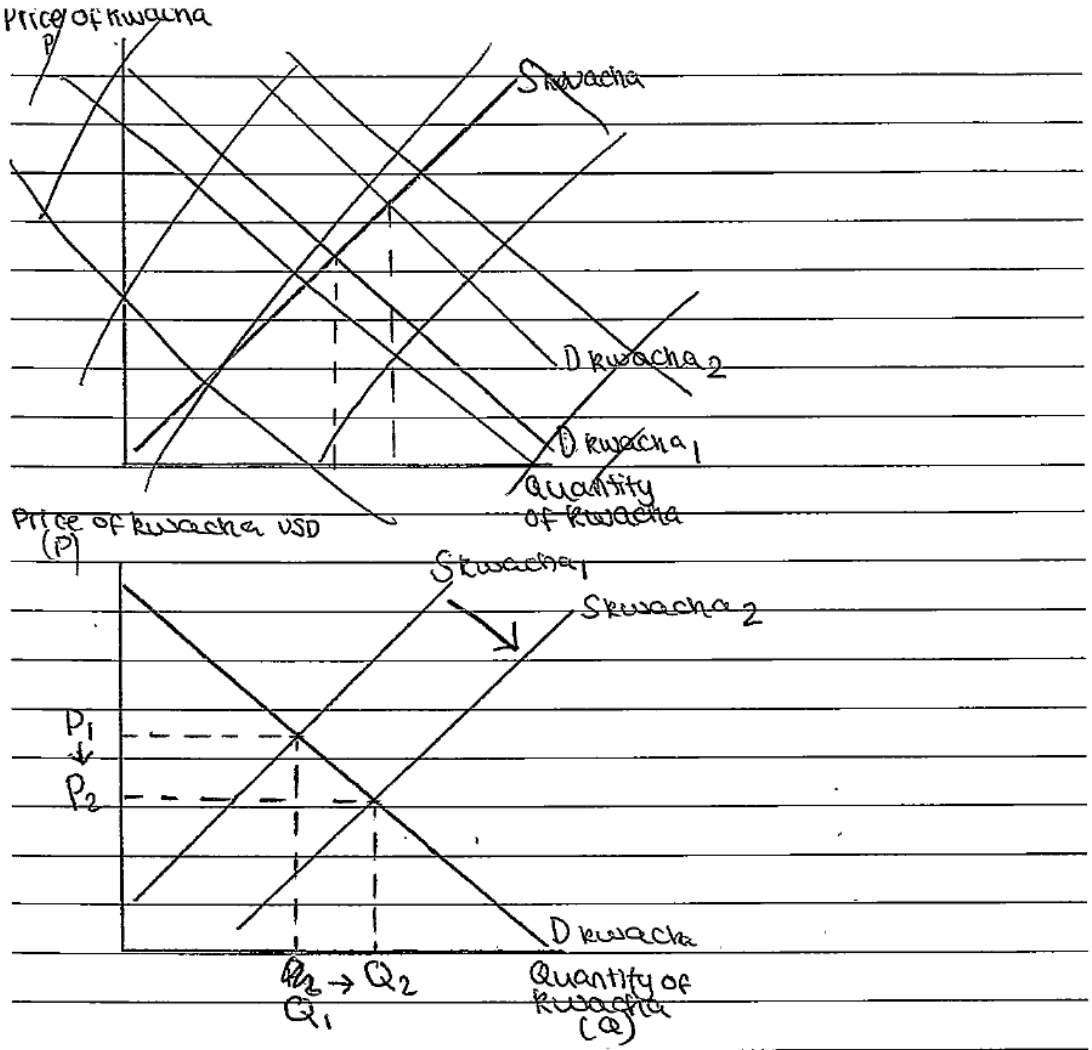
Increasing the availability of education, especially to girls, will have many benefits. Firstly, with higher or better education better jobs are available and so incomes rise which alleviates poverty. Secondly, when girls are more educated they tend to have fewer children so population growth slows. This not only reduces the strain on resources but also usually leads to better educated children, breaking the cycle further.

2 D



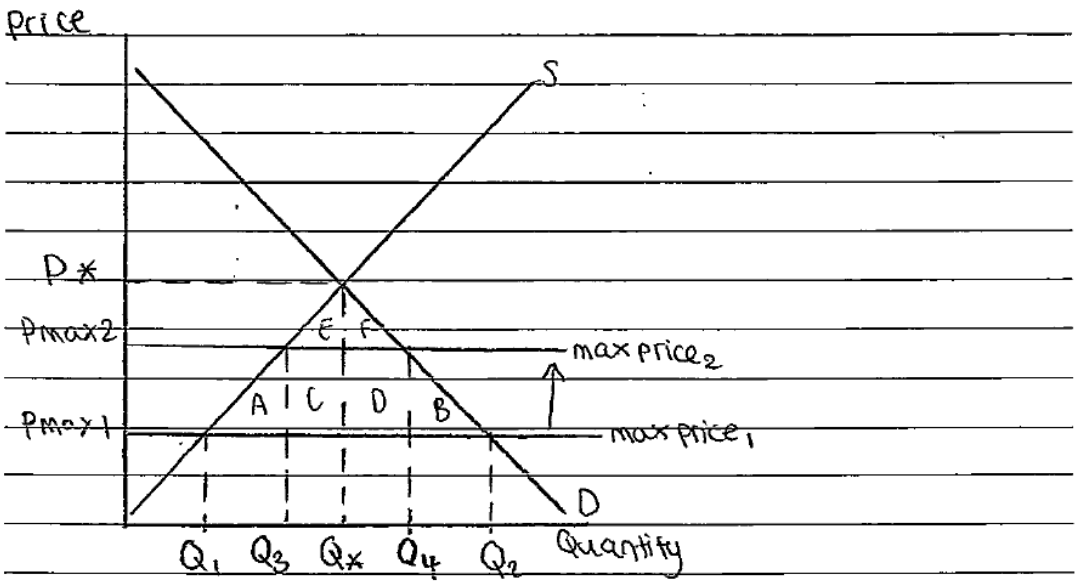
reduction in government spending is contractionary fiscal policy. Government spending is a component of AD so reducing this will cause a shift in AD to the left. When AD_1 shifts to AD_2 real output falls from Y_1 to Y_2 because government provision for benefits or investment in public infrastructure falls. This in turn causes a contraction along the SRAS as the average price level falls from P_1 to P_2

2 E



To decrease the current account deficit ~~a deficit~~ Malawi may choose to devalue its currency. The price/value of Kwacha would fall from P_1 to P_2. This would increase the competitivity of Malawi's exports in the international markets, thus the supply of Kwacha would shift outwards from Q_1 to Q_2. The exchange rate would be artificially low for Kwacha.

2 F



Raising the maximum price from P_{max_1} to P_{max_2} would reduce the excess demand from $Q_1 Q_2$ to $Q_3 Q_4$. This would make consumers better off as they will be able to purchase more maise even if it is at a higher price. Producer surplus will rise, the producer surplus is the area above demand and below price, so their surplus will grow. This is at the expense of consumer surplus however which will fall as a result. The welfare loss will be reduced as the excess demand falls, the new welfare loss will be areas A + B on the diagram, whilst the previous loss would be area A+B+C+D+E+F

2 G

Plan

what have they used?

- AID
  - ↳ reduce inequality
  - ↳ NOT ST relevance?
  - ↳ projects good
- microfinance
- contractionary FP → bad for growth
  - ↳ but bad inflation
- BOT
- ~~Primary product~~ reliance → diversification I
  - ↳ inequal govmt help for farmers → pollution
- price controls → equality → SoL
  - ↳ poorly done

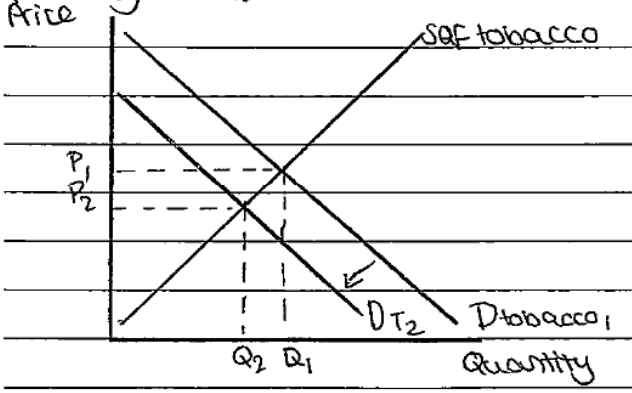
Barriers

- poverty
- inequality
- institutional
- human cap
- infrastructure

Economic growth is a persistant increase in GDP over a given time period. This feeds into economic development which focuses more on standards of living and economic wellbeing. The two are greatly linked, although development relies more heavily on growth than vice versa. The malawian government has placed policies and actions to increase both economic growth and development, there is evidence that these

policies have been effective as real GDP has risen by roughly 709 million in under a decade. Furthermore indicators of development such as life expectancy have improved greatly in a similar time period. The debate surrounds the question, have government actions been properly efficient and at what costs?

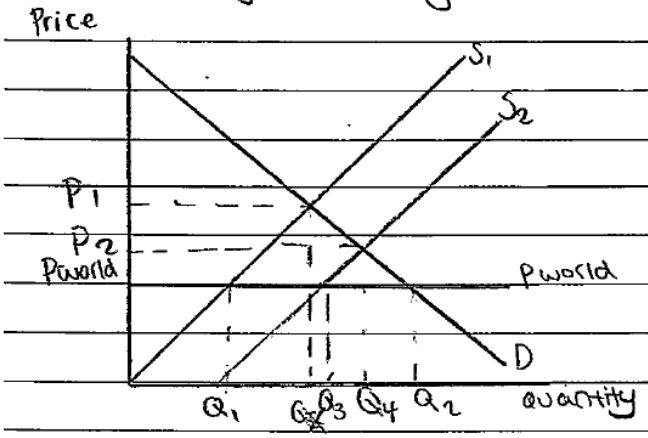
A large issue highlighted by the texts is that of primary product reliance. Heavily relying on agricultural products such as tobacco can be detrimental to the economy, where over 50% of foreign currency earnings are under threat due to falling demand.



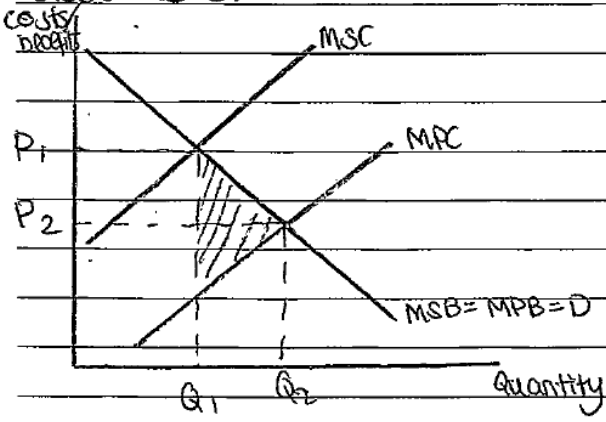
This diagram illustrates how the demand for tobacco has fallen thus shifting prices. The prices have fallen at the expense of worker welfare and child labour. This arguably deducts from economic development. This has led to protectionism against Malawi's tobacco exports which will further damage the economy.

A policy to improve the situation could be harsher legislation on child employment laws. This would be effective in reducing child labour, although exploitative adult labour may rise. Furthermore, as laid out in text 1, Malawi has institutional issues which may provide a barrier to these actions. As described

In text E, the government plans to invest in agriculture. Promoting diversification in this scenario would be the smartest route. This would reduce the reliance on tobacco as a primary product and alleviate the issues caused by falling demand. A subsidy to farmers is a good way to achieve this.



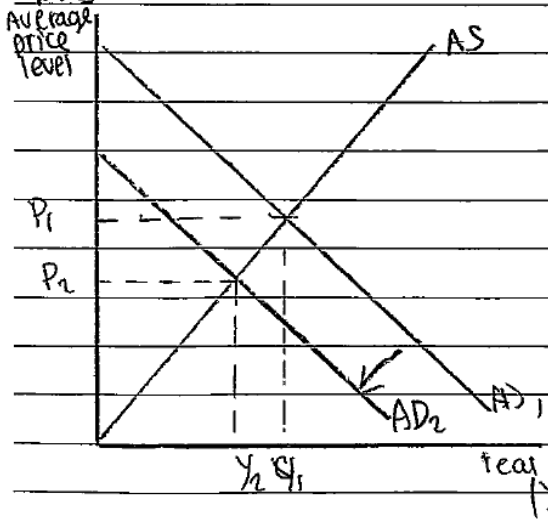
The cost of production falls for farmers, this means supply shifts from S_1 to S_2. The import of goods will fall from Q_1Q_2 to Q_3Q_4 meaning the domestic producers have a larger share of the market and revenue as they are better equiped to compete. This however has the drawbacks of sparking trade wars as it is protectionism. Furthermore, subsidising 4.3 million farmers will strain the government reserves and increase debt. Government debt increased by 33.2% of GDP from 2010 to 2019, this will cause problems when the government wants to spend or invest elsewhere.



Additionally the subsidy will worsen the negative externalities of production, Namely in water pollution, The deadweight welfare loss is shaded and represents the cost to society when social costs > private costs.

As a developing country, Malawi is relatively poor with high rates of poverty. 80% of labour is employed in agriculture and there is little opportunities for jobs in other sectors. Many of the population are subsistance farmers. Firstly, they have recieved little to no help from the government which implies the government subsidies promote inequality. Secondly, these farmers contribute nothing to ~~tax~~ income tax revenue and very little in other taxes. This explains why government debt has increased to such a high extent. To improve this education ~~and~~ infrastructure and new job creation should be invested in. The enrollment in education has increased over time although not by significantly large amounts. This indicates that economic development has occurred.

However, as a result of the trade defecit and protectionism inflation has risen to high levels. Contractionary fiscal policy may be used to correct this.



Contractionary fiscal policy can reduce inflation from P_1 to P_2, however real output/ GDP will fall from Y_1 to Y_2. It is a conflict between lowering inflation and also reducing the extent of economic growth.

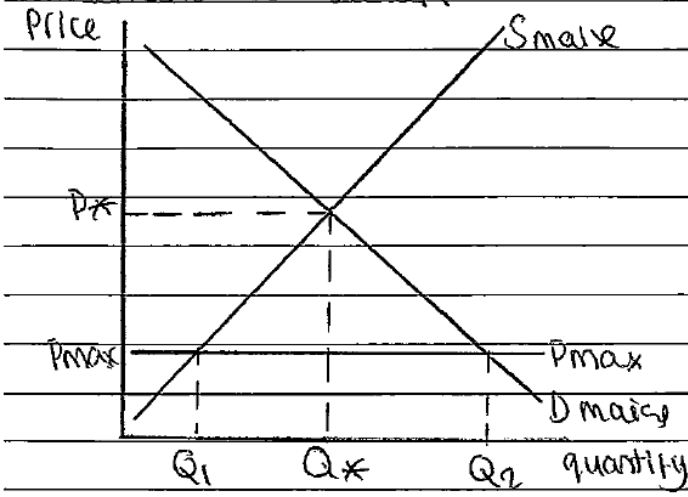
2 G CTD.

To use contractionary fiscal policy either government spending must fall or taxation rates must rise. A fall in government spending may cause issues in areas that need investments such as education, whilst increasing taxation can affect the population adversely. Government revenue would rise however the poorest in the economy may suffer most, those who farm for subsistance with no income would face a burden.

Attempts to reduce inequality, especially income inequality have had little effect with the gini coefficient only falling by 0.01%. Price controls to ensure the poorest in the society are able to purchase food have been implemented. These could have been successful if they weren't poorly implemented and managed.

Setting the maximum price so low that it deters production would decrease the availability of maize. This would have the effect of excess demand meaning only a small proportion of the population is able to purchase, making

consumers worse off.



The excess demand of Q_1 to Q_2 may create a shadow market to undercut the maximum prices. This would have multiple issues. Firstly, only those able to spend more can purchase maize thus increasing income inequality. Secondly as it is illegal, no tax is collected on sales which takes away from the ~~govt~~ potential government revenue if producers produce less as they cannot profit, unemployment will rise. This exacerbates existing issues of poverty thus taking away from economic development.

In conclusion, the Malawian government has made multiple different attempts to address economic growth and development. There are high barriers to development such as poverty, poor infrastructure and poor factors of production. Despite this the approaches have shown to be somewhat effective in incurring growth and development even though costs have been high